

b. But then, why take risks?

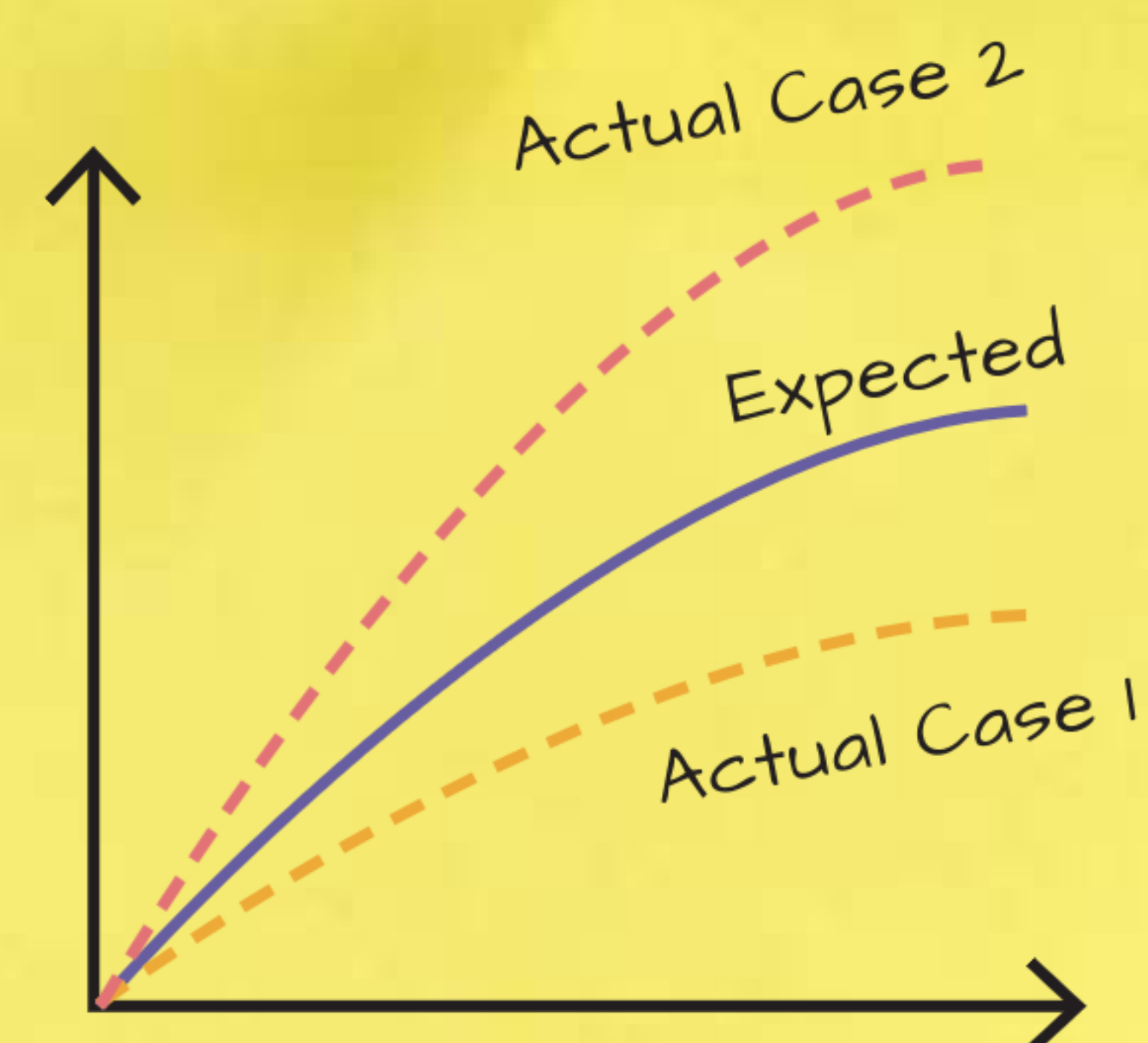
Let's simply invest in safe assets only.

Fixed Deposits -

6% p.a.

Bonds -

9% p.a.



To compensate for higher risk, the investment products will have a higher rate of return. Investing in a riskier company's debt will give you a higher interest rate than an FD. In the case of variable return investments, the expected rate of return from the investment is higher to justify the higher Risk.

The fact that you may not meet your expected return from the investment also means there is a chance that you can get a higher return than what you expected. For example, in the stock market, there is a chance that the investment you made positively surprises you and over-performs your expectations. Hence, higher the Risk, higher the returns!

